

Summary and recommendation



Key Insights:

1. Overall Churn Rate

- The overall churn rate is **approximately 26.5%**, meaning about 1 in 4 customers leave the service.

2. Senior Citizens Are at Higher Risk

- Around **42% of senior citizens** churn, compared to just **24% of non-seniors**.
- This significant difference suggests older customers may face usability or cost-related challenges.

3. Tenure Strongly Predicts Churn

- Customers with **less than 10 months** tenure have a **churn rate of over 50%**.
- Those with **more than 60 months** churn at less than **10%**, indicating strong loyalty over time.

4. Contract Type Matters

- Customers on **month-to-month contracts** have a **churn rate above 40%**.
- In contrast, those on **1-year** and **2-year contracts** show much lower churn: **11% and 3%** respectively.

5. Internet Service Type

- **Fiber optic users churn the most** (about **42%**), possibly due to higher costs.
- Customers with **no internet service** churn at a very low rate (**~7%**), suggesting they may be less engaged or on minimal plans.

6. Online Services Reduce Churn

- Customers who **do not use OnlineSecurity** churn at **35%**, versus **15%** for users who have it.
- Similar trends are seen for **TechSupport** and **DeviceProtection**, reinforcing the value of these add-ons.

7. Multiple Services vs. Churn

- Features like **StreamingTV** and **StreamingMovies** have moderate influence, but churn is still higher among those **not using** these services.
- Absence of these services may indicate lower engagement or satisfaction.

8. Payment Method

- Customers paying via **Electronic Check** churn at **45%**, while those using **Credit Card** or **Bank Transfer** have lower churn (~20%).
- This suggests that **involuntary churn or dissatisfaction** may be higher among electronic check users.

9. Gender & PhoneService

- Gender does **not significantly influence churn** — churn rates are nearly equal between males and females.
- Similarly, **PhoneService** and **MultipleLines** show minimal churn variation.